

# Logistics Performance Analytics

## EXECUTIVE BUSINESS REPORT • Q3 ANALYSIS

### 1. Executive Summary

This report synthesizes raw operational data into actionable business intelligence regarding our logistics, delivery performance, and operational costs. The analysis was conducted to address management's core questions surrounding delivery delays, route bottlenecks, warehouse efficiency, and partner costs.

Our data indicates that while the overall delivery success rate remains high, there are distinct operational pockets—specifically within certain regional routes and delivery partners—where delays and inflated costs are eroding customer satisfaction and profit margins.

### 2. Core Performance Indicators (KPIs)

#### TOTAL PROCESSED ORDERS

**124,582**

For the current fiscal period

#### ON-TIME DELIVERY RATE

**82.4%**

Target: 95.0% | Variance: -12.6%

#### AVERAGE DELIVERY DELAY

**2.4 Days**

Calculated on delayed shipments only

#### TOTAL LOGISTICS COST

**\$1.42M**

Includes shipping & fuel overheads

### 3. Delivery & Route Analysis

A deep-dive into route data reveals that distance is not the sole predictor of delays. Several high-volume mid-range routes are experiencing significant bottlenecks, suggesting issues with local distribution hubs rather than transit times alone.

#### Customer Impact Warning

Data shows a direct inverse correlation between **Delay Days** and **Customer Rating**. Orders delayed by more than 3 days see a 45% drop in average customer rating, heightening the risk of churn and increasing the likelihood of order return claims.

## High-Risk Delivery Routes

The following table isolates the routes experiencing the highest average delay durations. These operational corridors require immediate logistical auditing.

| ORIGIN CITY  | DESTINATION CITY | VOLUME | AVG DELAY (DAYS) | STATUS   |
|--------------|------------------|--------|------------------|----------|
| Seattle, WA  | Miami, FL        | 4,210  | 4.8              | Critical |
| Chicago, IL  | Houston, TX      | 8,554  | 3.2              | Critical |
| New York, NY | Denver, CO       | 6,102  | 2.7              | Critical |
| Atlanta, GA  | Dallas, TX       | 12,045 | 1.4              | Monitor  |

## 4. Cost & Partner Analysis

Cost structures vary significantly across our 3rd-party delivery network. While Partner A handles the bulk of our volume, Partner C is responsible for a disproportionate amount of our logistics spend relative to their poor on-time performance.

| DELIVERY PARTNER        | SHIPMENTS HANDLED | ON-TIME % | AVG COST / ORDER | DAMAGE RATE |
|-------------------------|-------------------|-----------|------------------|-------------|
| Swift Logistics         | 52,400            | 88.5%     | \$10.25          | 1.2%        |
| National Freight        | 45,100            | 84.2%     | \$11.80          | 1.8%        |
| ExpressWays (Partner C) | 27,082            | 69.4%     | \$14.55          | 3.4%        |

## 5. Business Recommendations

- Investigate Dispatch Windows:** There is a systemic disconnect between dispatch dates and expected delivery dates. Adjust our customer-facing timeline algorithms to set more realistic expectations, particularly for cross-country routes.
- Conduct Warehouse Audits:** Warehouses feeding the Chicago-to-Houston and Seattle-to-Miami routes show higher internal processing hours. We recommend a time-motion study in these facilities to identify sorting and loading bottlenecks.
- Renegotiate with ExpressWays:** Partner C (ExpressWays) holds the lowest on-time percentage (69.4%) and highest damage rate (3.4%), yet charges the highest average cost per order. Volume should be diverted to Swift Logistics until terms are renegotiated.
- Optimize Shipping Modes:** Implement an automated routing logic in the order management system that defaults to the most cost-effective shipping mode (e.g., Road vs. Air) unless express delivery is explicitly paid for by the end customer.